Amazon.com, Inc.

AMZN NASDAQ

Buy	$262.97 ▲ 0.20%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.84T

AMZN: Quietly Reclaiming Highs as AWS and Ads Hum

WHAT HAPPENED

- AMZN basically shrugged today (+0.20%) but the real story is yesterday's 5% rip from $250 to $262 on huge volume (56M shares). That's institutional accumulation ahead of earnings in a couple weeks — somebody with real money is positioning for a beat.
- Options flow is screaming bullish: Put/Call ratio of 0.37 (way below the 1.0 "neutral" line — means traders are buying ~3x more upside bets than downside protection), with 47,861 unusual call contracts at the $265 strike. Translation: smart money is betting this breaks to new highs.

WHY IT MATTERS

Here's what's really going on: AMZN is sitting at 73% of its 52-week range and quietly consolidating near highs while the market's attention is elsewhere (healthcare and real estate led today). That's often the setup before a breakout — nobody's talking about it, but the options tape says institutions are loading up. The CEO sale of 1,000 shares is a nothing-burger (literally $251K for a guy running a $2.8T company — that's a car payment for him), so don't read any negative signal there. The bigger inference: with the federal AI infrastructure buildout accelerating and AWS being the default cloud for government workloads, AMZN is turning into a stealth defense/AI play that still trades like a retailer.

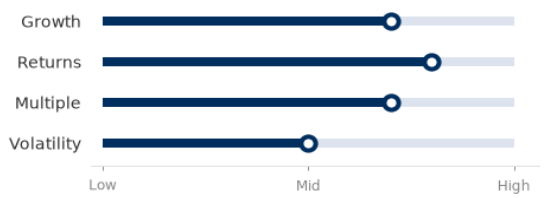
POLICY & POLITICAL WATCH

Two things to watch right now: (1) The ongoing FTC antitrust case against Amazon is grinding through the courts — a settlement or narrow ruling would unlock a re-rating higher, while a structural remedy (forced breakup of AWS from retail) is the tail risk. (2) The federal government's push to standardize AI procurement through FedRAMP-accredited cloud providers is a direct tailwind — AWS already dominates government cloud with the JWCC contract, and any expansion of federal AI spending flows disproportionately to them. Also keep an eye on tariff policy: Amazon's third-party sellers source heavily from China, and any new tariff escalation squeezes marketplace margins before Amazon can pass costs through.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$262.97**
12M Price Target	**$310.00**
Upside / (Downside)	**+17.9%**
Market Cap	**$2.84T**
FY2026E Revenue	**$745M**
FY2027E Revenue	**$825M**
FY2026E EPS	**$7.20**
FY2027E EPS	**$8.60**
Fwd P/E	**36.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$285.00**	$270.00	**$245.00**
6 Months	**$310.00**	$285.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$400.00**	$350.00	**$210.00**
5 Years	**$550.00**	$450.00	**$250.00**
10 Years	**$900.00**	$700.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.22% today, +5.83% on the week) is on fire — likely drug pricing clarity and defensive rotation ahead of earnings volatility. Real Estate and Utilities ripping suggests the market is pricing in more rate cuts.

COOLING OFF: Nothing is really getting crushed today — this is a broad "risk-on with defensive tilt" tape, which is unusual and often precedes a volatility spike.

ROTATION WATCH: Money is flowing into rate-sensitive sectors (REITs, Utilities) which tells me bond yields are falling — that's a tailwind for mega-cap tech like AMZN because it makes future cash flows worth more today.

RELATED PLAY: If you believe the AI/cloud story, the picks-and-shovels plays are the data center REITs (DLR, EQIX) and power infrastructure names — they benefit from Amazon's capex whether AMZN stock works or not.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Still the AI cloud darling — Azure growth and OpenAI partnership keep it as the benchmark everyone compares AWS to.
- GOOGL (Alphabet): Cloud reacceleration and AI product monetization are finally showing up in numbers; it's the "cheaper mega-cap AI" trade.

AMZN CONTEXT: AMZN has been a slight laggard vs. MSFT and GOOGL year-to-date, which is actually bullish — it means the easy money hasn't been made yet. If AWS surprises to the upside at earnings, this is the mega-cap with the most room to catch up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The setup here (bullish options flow, consolidation near highs, earnings catalyst, AI tailwind) is as clean as it gets for a mega-cap. Not 10/10 because antitrust overhang is real.

POSITION SIZE: 4-6% of portfolio — big enough to matter if it works, small enough that an FTC headline doesn't ruin your year.

ENTRY POINTS: Current levels ($263) are fine for a starter position; add aggressively on any dip to $250-255, which has been the floor for weeks.

TIME HORIZON: 12-24 months — the immediate catalyst is Q3 earnings in late October/early November, but the real story (federal AI contracts, AWS margin expansion) plays out over the next 2 years.

WHEN TO BAIL: AWS growth below 15%, FTC pushes for structural breakup, or stock breaks $240 on heavy volume (that would signal institutions are leaving).

HEDGING: Simplest hedge is buying a put option expiring in January at the $250 strike — think of it as insurance that pays off if the stock crashes. Costs you a small premium but caps your downside at a known number.

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